

broad consensus on how to assess it. Decision-makers in both arenas misinterpret available data, misdirect their analyses, and reach inaccurate conclusions. In baseball, as in securities, executives often face pressures that cause them to overpay for talent because they fear standing apart from the crowd, doing something unpopular (such as failing to re-sign a superstar), and being criticized. They often have an excessively short-term orientation, driven by rabid fans, critical media, and impatient owners. They may make decisions for emotional, not rational, reasons. They become exuberant; they panic; they fear missing out; they may think they see patterns that aren't really there or don't apply. They fail to understand what is mean-reverting and what isn't. Baseball's value investors, like financial-market value investors, have achieved significant outperformance over time.

*Moneyball* did not delineate a static approach that would consistently outperform over time. Market inefficiencies in any endeavor attract competition and are often quickly corrected. In response to the dramatic success of early *Moneyball* adherents, baseball general managers have built sizable teams of data analysts. A key skill set in managing a baseball team, as with investing, is the ability to sort through proliferating masses of data to assign proper weights to disparate factors. There is, in baseball and investing, an endless process of identifying and building edge, and then having those edges whittled down by competition, changes in the market, and sometimes changes in the rules, until they are gone. Consequently, new sources of edge must constantly be identified and developed.

Baseball general managers have advanced the thinking and science of properly valuing baseball players beyond those represented in *Moneyball* to measure anything and everything that can be measured. New technologies allow teams to assess a catcher's pitch-framing skill as well as the spin rate of pitches and the response time of fielders after the ball has been hit. Just as with investing in the financial